BUSINESS STUDIES

Maximum Marks: 80
Time Allotted: Three Hours
Reading Time: Additional Fifteen Minutes

Instructions to Candidates

1. You are allowed an **additional fifteen minutes** for **only** reading the question paper.
2. You must **NOT** start writing during reading time.
3. This question paper has **8 printed pages.**
4. There are **thirteen** questions in the paper. All questions are compulsory.
5. This paper is divided into **three sections: A, B and C.**
6. **Section A** has **sixteen subparts** which are very short answer questions. Each question carries 1 mark.
7. While attempting **Multiple Choice Questions** in Section A, you are required to **write only ONE option as the answer.**
8. **Section B** has **eight questions** which are short answer questions. Each question carries 4 marks.
9. **Section C** has **four questions** which are long answer questions. Each question carries 8 marks.
10. ***Internal choices*** have been provided in ***two questions in Section B*** and in ***one question in Section C.***
11. The intended marks for questions are given in brackets [ ].

Instruction to Supervising Examiner

1. Kindly read **aloud** the Instructions given above to all the candidates present in the examination hall.

SECTION A – 16 MARKS

Question 1

(i) Some employees at Dawn Ltd. overheard their managers discussing an upcoming Artificial Intelligence enabled project. The news spread quickly, leading to speculations about possible layoffs. [1]

What type of communication is indicated in the above case?

(ii) Name the outsourcing process in which an organisation assigns its non-core processes to an external agency. [1]

(iii) Observe the relation between the first two phrases / terms and complete the analogy.

(a) Systematic study of a job : Job Analysis :: Explanation of the scope of a job : _____ [1]

(b) Training to rectify mistakes : Remedial Training :: Training to update on new technology : _____ [1]

(iv) According to Herzberg, the presence of _____ factors is necessary to avoid dissatisfaction among employees at the workplace. [1]

(v) A _____ report is intended for the use of a few authorised individuals only. [1]

(vi) _____ leadership enables leaders to adapt themselves to varying scenarios and tasks at their workplace. [1]

(vii) In Business Communication, the use of _____ assists superiors and Team Leaders situated in diverse locations to have a 'real-time' conversation and take work-related decisions. [1]

(viii) Varsha wants to attend the naming ceremony of her friend's baby which requires only a day's leave. Since her friend has been unwell and requires support, Varsha decides to apply for an additional day's leave. [1]

Considering the purpose and duration of leave, select the type of leave Varsha should apply for.

(a) Earned leave

(b) Medical leave

(c) Casual leave

(d) Maternity leave

(ix) The Human Resource Department at Harry & Sons wants to reduce subjective bias while evaluating the performance of each worker and comparing the results. Which one of the following would be **MOST** suitable to appraise the workers at Harry & Sons? [1]

(a) Appraisal of performance based on achievement of targets.

(b) Workers' performance evaluated by their immediate supervisors.

(c) Feedback on performance collected from self, superiors, subordinates and peers.

(d) Workers rated in fixed performance categories such as excellent, good, satisfactory and poor.

(x) Identify the correct statements about Crowdfunding. [1]

(P) Funds are raised from high net-worth individuals.

(Q) Small contributions are raised from a large group of individuals.

(R) Funds are secured through the stock market.

(S) Funds are sourced from Reserve Bank of India.

(a) Only (P) and (Q)

(b) Only (Q) and (R)

(c) Only (R) and (S)

(d) Only (S) and (P)

(xi) Given below are two statements marked Assertion and Reason. Read the statements carefully and choose the correct option. [1]

Assertion: The process of recruitment concludes with the correct placement of applicants.

Reason: Recruitment is concerned only with shortlisting candidates from a pool of candidates.

(a) Both Assertion and Reason are true, and Reason is the correct explanation for Assertion.

(b) Both Assertion and Reason are true, but Reason is not the correct explanation for Assertion.

(c) Assertion is true and Reason is false.

(d) Both Assertion and Reason are false.

(xii) State whether the following are True or False:

(a) A quotation letter seeks information about the availability of products with the seller. [1]

(b) Food Safety and Standards Authority of India (FSSAI) collects and collates data on contamination of water. [1]

(c) Laid off employees cannot be reappointed in the same firm even when its business conditions improve. [1]

(d) Trade blocks such as increase in tariffs restrict globalisation of industries. [1]

SECTION B – 32 MARKS

Question 2

(i) With reference to Staff Morale, briefly explain how each of the following factors can act as a *morale stimulant* as well as a *morale depressant*:

(a) Management policies [2]

(b) Working conditions [2]

OR

(ii) With reference to Barriers to Communication, briefly explain each of the following:

(a) Semantic Barriers [2]

(b) Physical and Mechanical Barriers [2]

Question 3

Marvel Ltd. plans to expand its business and needs help in generating capital while ensuring compliance with the securities market regulator.

(i) Identify the securities market regulator referred to above. [1]

(ii) State *any one* way in which the securities market regulator protects investors. [1]

(iii) Which intermediary of the securities market regulator should Marvel Ltd. approach to generate capital? [1]

(iv) Can the securities market regulator permit a commercial bank to give funds to Marvel Ltd.? Justify your answer by giving a reason. [1]

Question 4 [4]

Differentiate between Horizontal and Vertical Communication on the following bases:

(i) Purpose

(ii) Direction

(iii) Relationship

(iv) Speed

Question 5

(i) Two friends, Anandita and Rukhsana, started a business based on a verbal understanding. Anandita invested ₹ 20,00,000 and Rukhsana invested ₹ 30,00,000 in the business. They agreed to share the financial outcomes of the business equally, despite contributing unequal amount of capital.

(a) Identify the form of business set up by Anandita and Rukhsana. [1]

(b) Anandita and Rukhsana agreed to share the financial outcomes of the business equally. [1]

Which feature of this form of business is highlighted here?

(c) Examine *one* probable risk of starting a business based on a verbal understanding. [1]

(d) If Anandita decides to leave the business in future, can Rukhsana continue business in the same form? Justify your answer by giving a reason. [1]

OR

(ii) Speed Ltd. paid its daily wage workers ₹ 100 per hour. Ravi, a worker, was paid ₹ 800 at the end of each day. He checked the number of hours he had worked and found the amount received to be correct.

Recently, the company decided to focus on increasing productivity. Hence, workers were now paid on the basis of the number of units they produce. Under the new system, Ravi's daily wages were ₹ 1000 as he is fast in his work. However, the trade union was dissatisfied with this decision.

(a) Which system of wage payment was initially followed by Speed Ltd.? [1]

(b) Briefly explain the merit of the old system of wage payment to Ravi. [1]

(c) Why was the trade union dissatisfied with the new system of wage payment despite its rewarding efficient workers? [1]

(d) Analyse the impact of change in the wage system on the economic security of workers. [1]

Question 6

With reference to Staff Separation, answer the following questions:

(i) Briefly discuss *suspension*. [2]

(ii) Mention *any one* way in which Exit Interviews may prove beneficial to the following: [2]

(a) Employer

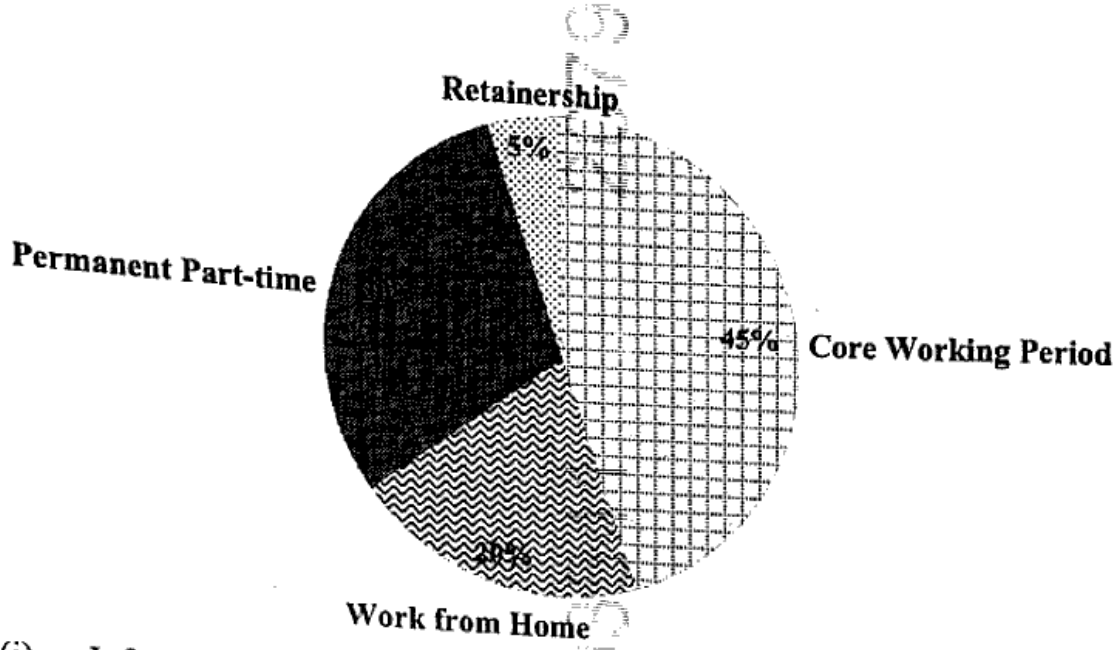
(b) Employee

Question 7

Lack of faith in the usefulness of training derails the training programme. [4]
State *any four* hindrances, other than the above, that could be detrimental to training.

Question 8

The pie chart given below shows a clear division of workforce at Infogram Ltd. based on the emerging trends in Human Resources.



(i) Infogram Ltd. outsources the review of its Human Resources policy to a law firm. Name the trend used by the company. [1]

(ii) Mention *any one* advantage to Infogram Ltd. of allocating core working period to 45% of its workforce. [1]

(iii) Why has Infogram Ltd. allowed only 20% of its workforce to Work from Home? [1]

(iv) Permanent part-time employees can work simultaneously in another organisation. Justify the statement by giving a reason. [1]

Question 9

With reference to e-recruitment, briefly explain each of the following:

(i) Internet

(ii) Intranet [2]

[2]

SECTION C – 32 MARKS

Question 10

Briefly discuss the following:

(i) G2B [2]

(ii) Outsourcing [2]

(iii) Group Life Insurance [2]

(iv) Professional significance of Human Resource Management [2]

Question 11

(i) Briefly explain *any two* objectives of Staff Transfer. [4]

(ii) Briefly describe each of the following sources of business finance.

(a) Equity Shares [2]

(b) Preference Shares [2]

OR

(iii) State *any four* advantages of Oral Communication. [4]

(iv) Briefly discuss each of the following steps in the Selection Procedure:

(a) Preliminary Screening [2]

(b) Final Interview [2]

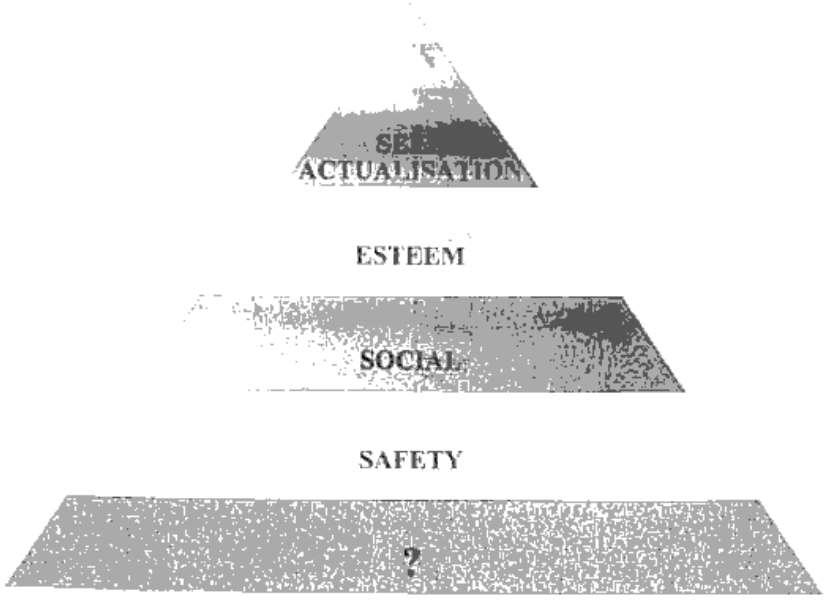
Question 12 [8]

Madhuban Verma applied for the post of a Choreographer at Twist & Turn Dance Academy. At the end of the selection procedure, the panel found him suitable for the position.

Draft an email from Twist & Turn Dance Academy to Madhuban Verma informing him about the final approval of the management.

Question 13

Study the pyramid given below that represents Maslow's Hierarchy of Human Needs, and answer the questions that follow.



(i) Name the missing need that appears at the base of Maslow's Hierarchy of Human Needs. **[1]**

(ii) Identify the needs corresponding to the following descriptions:

(a) Human beings want to build meaningful relationships with others. **[1]**

(b) Human beings attempt to realise their full potential. **[1]**

(iii) Why is Maslow's Hierarchy of Human Needs represented by a pyramid? **[1]**

(iv) What needs of employees are satisfied by the following incentives given by an organisation?

(a) Gratuity **[1]**

(b) Recognition at the annual meeting **[1]**

(v) Give *any two* differences between Motivation and Morale. **[2]**